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spirit of india special ■

STOCK MARKETS ACROSS THE WORLD CRASHED AS THE LONG-WINDING RECESSION SET IN

markets will be more robust than that of the G7 countries. But emerging markets will take a few years to achieve their pre-recession growth rates in the absence of benign global conditions—cheap and easy money, large capital inflows and strong US demand. In such a scenario, they can achieve high growth by boosting domestic demand rather than exports, increasing job creation and labour incomes, and accelerating the pace of policy reforms.

● **Fundamentals Key to Growth** The global cycle proved that countries which maintained better macro fundamentals and corporate governance benefited more from the global boom and also managed to withstand the global crisis. Such economies also had more fiscal and/or monetary policy space to stimulate the economy. State dominance and sequenced financial liberalisation contained emerging economies' exposure to toxic derivatives. Countries with a large domestic demand and low export dependence, such as India, were less affected by the global downturn compared to the export-dependent Asian Tigers and commodity dependent countries like Russia. In some cases, the global boom might have prepared emerging markets to withstand the downturn. For instance, capital inflows into emerging markets in Asia during the boom years helped them build foreign exchange reserves, which were large enough to manage capital outflows, currency depreciation and balance of payments weakness during late 2008 and early 2009. On the other hand, emerging markets that used cheap global liquidity to take on excessive leverage and finance domestic consumption and investment that caused external deficits, especially in Central and Eastern Europe, became highly vulnerable.

● **The Rebirth of Keynesianism** A major factor that prevented the global financial crisis from turning into a global depression was the active role of governments and central banks in implementing timely orthodox and unorthodox policies. Apart from large fiscal stimulus and interest rate cuts, policymakers resorted to liquidity injections, bank guarantees, intervention in bond and currency markets and banks' asset purchases, at a scale not seen before.

world—which ultimately led to its demise.

● **Decoupling or Recoupling?** As the US sneezed, the rest of the world caught a cold, thus bursting the myth of decoupling. The BRIC economies were affected via different channels and to differing degrees. Emerging markets such as India were hit by capital outflows and asset market correction, while many other Asian and Latin American economies endured plunging exports and commodity prices. Despite the growing economic power of "Chindia" and other emerging markets, the crisis proved that the US (consumers) retains its place as the main driver of global growth.

Post-recession, the dynamics of global growth are set to change. At the end of this decade, the world will transition from the boom-and-bust cycle to what many call a "new normal" lower growth rate with varying implications for the developed and developing countries. US consumers will no longer drive export demand and economic growth in the export-dependent countries, such as in Asia and Latin America. And demand in emerging markets will be insufficient to fill this gap in the short run. The recovery of most emerging

FORGET ABOUT GROWTH, ALL we can think of in the current global scenario is survival.

RAKESH VAID
CHAIRMAN, APEC

Talking TROUBLE

April 2007 New Century Financial and other subprime lenders in the US file for bankruptcy, signalling that something is again amiss in the world economy after the fall of the Asian Tigers in 1997.

March 2008 US investment bank Bear Stearns is rescued by rival JP Morgan Chase.

Sept 2008 The US Government saves Fannie Mae, Freddie Mac and AIG. Lehman

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Brothers goes bankrupt while Merrill Lynch is bought by Bank of America.

October 2008 The biggest financial rescue in the US history is approved and in India the Sensex falls by over 1,000 points in a day, followed by firefighting by the RBI.

April 2009 World leaders pledge \$1.1-trillion help for emerging economies at the G20 London Summit.